Question **4**

Correct

Mark 1.00 out of 1.00

Flag question

Jana Co. purchased equipment with a market value of $ 200,000 by paying $50,000 and issuing 1,000 shares of its common stocks (Par value $100/share). The shares are actively traded in the stock market at $130/share.

the cost of equipment equal:

- A. 180000
- B. 150000
- C. 100000
- D. 200000

Your answer is correct.

The correct answer is: 180000

Finish review

On December 1, 2010, Hogan Co. purchased a tract of land as a factory site for $800,000. The old building on the property was razed, and salvaged materials resulting from demolition were sold. Additional costs incurred and salvage proceeds realized during December 2010 were as follows:

Cost to raze old building	$70,000
Legal fees for purchase contract and to record ownership	10,000
Title guarantee insurance	16,000
Proceeds from sale of salvaged materials	8,000

In Hogan's December 31, 2010 statement of financial position, what amount should be reported as land?

A. $826,000.

B. $888,000.

C. $862,000.

D. $896,000.

Your answer is correct.

The correct answer is:

$888,000.

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Flag question

On February 1, 2010, Nelson Corporation purchased a parcel of land as a factory site for $200,000. An old building on the property was demolished, and construction began on a new building which was completed on November 1, 2010. Costs incurred during this period are listed below:

Demolition of old building	$ 20,000
Architect's fees	35,000
Legal fees for title investigation and purchase contract	5,000
Construction costs	1,090,000

(Salvaged materials resulting from demolition were sold for $10,000.)

Nelson should record the cost of the land and new building, respectively, as

A. $210,000 and $1,130,000.

B. $225,000 and $1,115,000.

C. $215,000 and $1,125,000.

D. $210,000 and $1,125,000.

Your answer is correct.

The correct answer is: $215,000 and $1,125,000.

Mark 1.00 out of 1.00

Flag question

On April 1, Mooney Corporation purchased for $855,000 a tract of land on which was located a warehouse and office building. The following data were collected concerning the property:

	Current Assessed Valuation	Vendor's Original Cost
Land	$300,000	$280,000
Warehouse	200,000	180,000
Office building	400,000	340,000
	$900,000	$800,000

What are the appropriate amounts that Mooney should record for the land, warehouse, and office building, respectively?

A. Land, $285,000; warehouse, $190,000; office building, $380,000.

B. Land, $299,250; warehouse, $192,375; office building, $363,375.

C. Land, $300,000; warehouse, $200,000; office building, $400,000.

D. Land, $280,000; warehouse, $180,000; office building, $340,000.

Your answer is correct.

The correct answer is: